

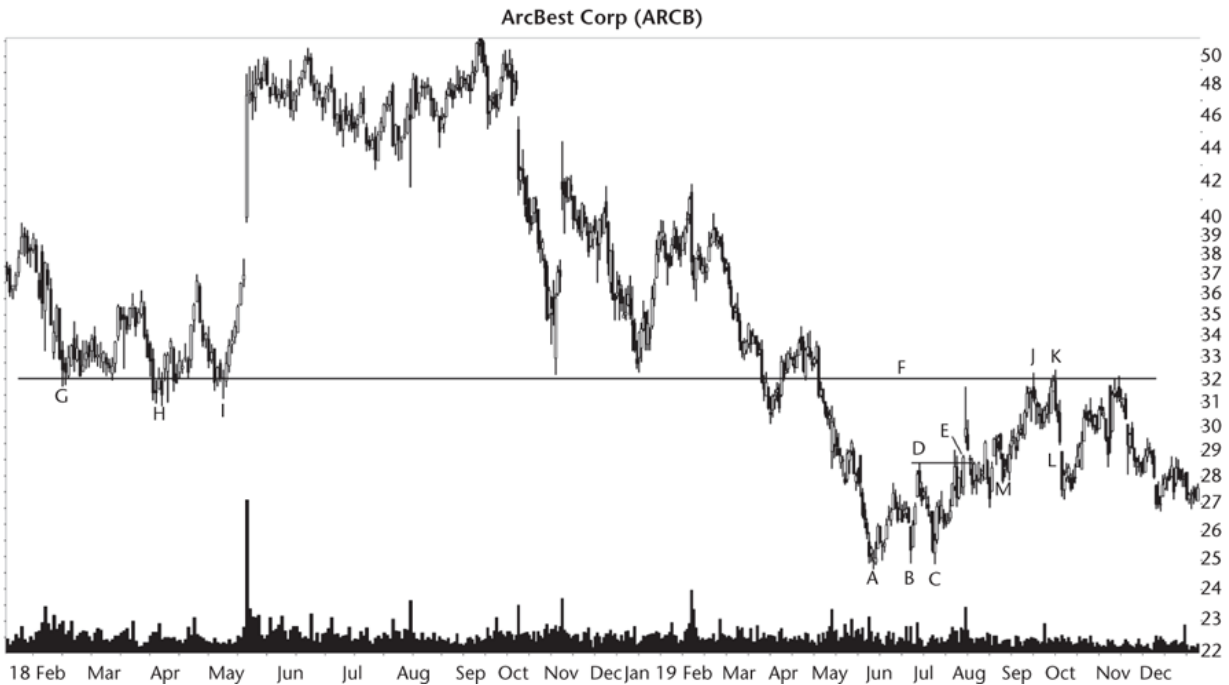


Figure 67.4 Russell had high hopes for this triple bottom trade, but the stock couldn't penetrate overhead resistance.

"I placed a stop below the lowest of the three bottoms" (the first one), at 24.67, for a potential loss of 14%. "The potential loss was higher than I like, but ..." he said and shrugged.

He wanted to hold this for the longer term but noted overhead resistance (line F) set up by a triple bottom in early 2018 (turns GHI). Notice how GHI might be a head-and-shoulders bottom except H and I are too close in price to one another.

The stock gapped up a day after he bought, and he was thrilled, but it lasted only a day before price started retracing.

The retrace continued but didn't take the stock down much before it resumed rising to peak at J. When the stock reached J and left a defined peak on the chart, he raised his stop to just below the minor low at M. That narrowed his potential loss considerably, to less than 3% (unless price gapped down, of course).

A double top appeared at JK, which confirmed in a strong push lower. Combined with overhead resistance (F) that he noted before he bought, Russell decided to sell. "It's not going to be able to push through it [resistance] this time," he told me.